Market Valuation Ratios

Let's look at valuation ratios for overall markets to check if the index is over-priced or under-priced. How do we identify if NIFTY or Sensex are overvalued or under-valued? So Let's get started with the valuation ratios for overall markets.

1 Market Cap / GDP

The overall stock market capitalization-to-GDP ratio is a ratio used to determine whether the overall market is undervalued or overvalued compared to a historical average. It consists of two parts.

Formula:

Source: BSE

$$\frac{\text{Total Market Cap of all Listed Stocks}}{\text{Current GDP of the Country}}$$

Source: Govt. website

Market Value is a statistic for determining the total value of a firm, which is based on the profits it makes. Here we will look at the cumulative market capitalization of all the 6000 listed companies in India.

Total No. of Companies	All India Market Capitalisation (Rs. Cr.)	Top 10 Companies Market Capitalisation (Rs. Cr.)
5230	2,66,20,166.79	75,96,816.53

Source: BSE

GDP of India 2021 = 19.6482 Cr.

Source: Govt. website

$$\text{Market Cap / GDP} = \frac{26.62 \text{ L Cr.}}{19.6482 \text{ Cr.}} = 1.3$$

as (of Nov 2021)

If the value of the ratio is less than 1, then the overall market is relatively undervalued and vice-versa. Since the ratio is 1.3, we can conclude that the market is relatively overvalued.

1 < Ratio ⟶ Overall market is relatively high priced.

1 > Ratio ⟶ Overall market is relatively low priced.